

Fearnleys Dry Bulk Weekly

May 6, 2026





Capesize/Newcastlemax

The market has kept rallying, diverging from the development of the laden/ballast ratio and the South Atlantic tightness indicator. The C5TC 180/P5TC ratio has usually peaked around 2.5 in the last years, which suggests an index of around 50kpd might be the ceiling for the current rally.

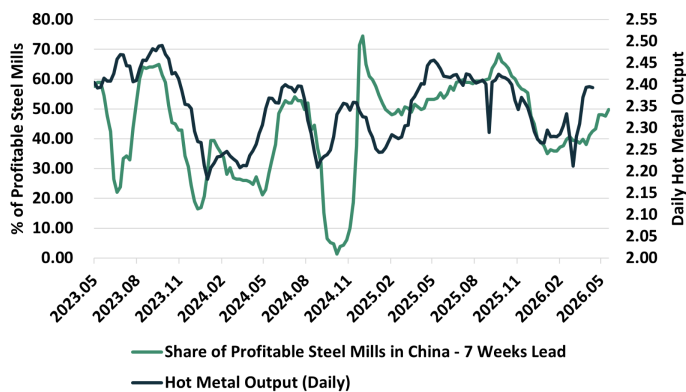
Top left chart: No update on fundamental data from China last week, due to holidays.

Top right chart: Shipment volumes were 7.4% higher than last year through week 18. Still strongly positive, but down from the peak earlier this year. Supply growth is at 1.5%.

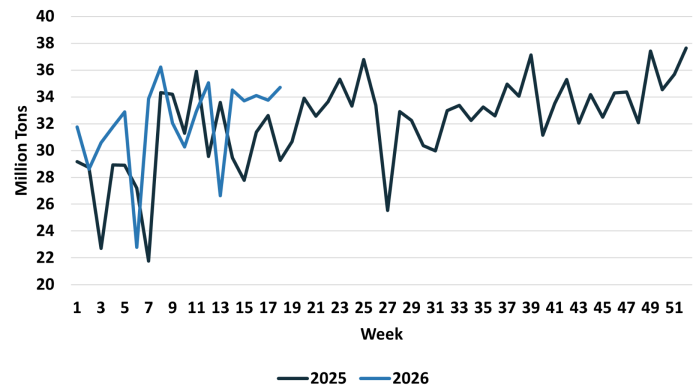
Bottom left chart: The market had a slight dip after the SATI read an extreme low of 240 nearly a month ago. That the market has rallied to higher highs since then displays that fundamentals are very strong.

Bottom right chart: The laden/ballast ratio turned down from the peak, which normally correlates with a falling market. Not this time around, which reflects that fundamentals are strong enough to quickly absorb newly open tonnage. The ratio is still high, however, suggesting more vessels will be open within the next weeks which is likely to put downward pressure on the market in the near term.

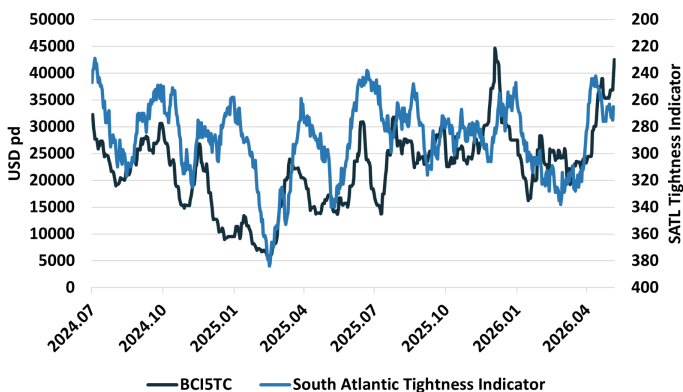
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



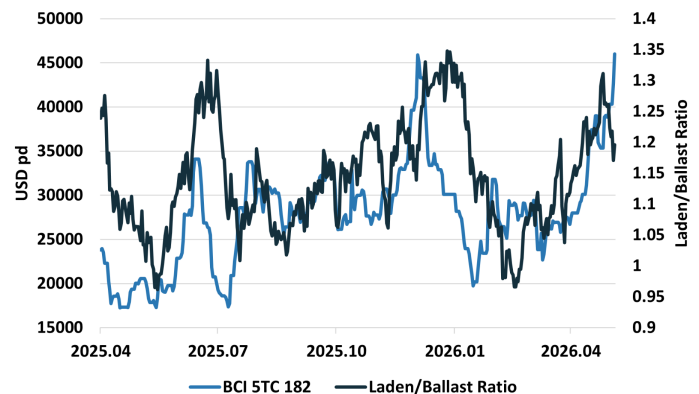
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio





Panamax/Kamsarmax

The below indicators have all turned a bit more bearish since last week, suggesting the rally could soon halt.

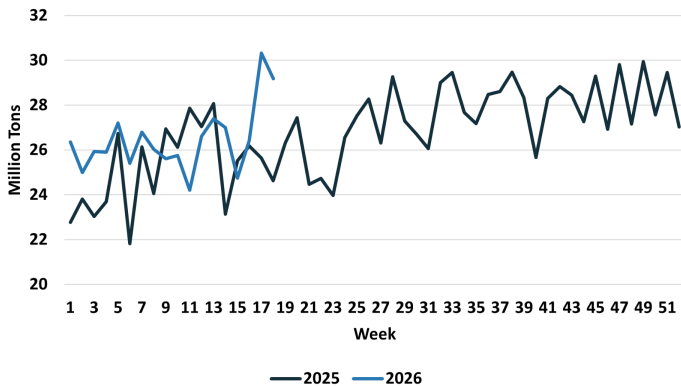
Top left chart: Shipment volumes were up 5.0% year on year through week 18, increasing from the previous weeks. Supply growth is at 4%.

Top right chart: The coal futures curve contango increased further over the last week, which still suggests a peak could be near. However, all energy prices and futures curve structures are very volatile these days, so indicators like the one shown here could have less value as near-term predictors of the market.

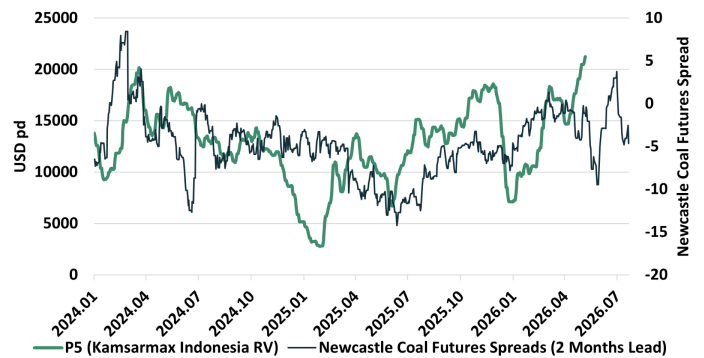
Bottom left chart: The Pacific tightness indicator turned more bearish over the last week.

Bottom right chart: The SATL tightness indicator turned more bearish over the last week.

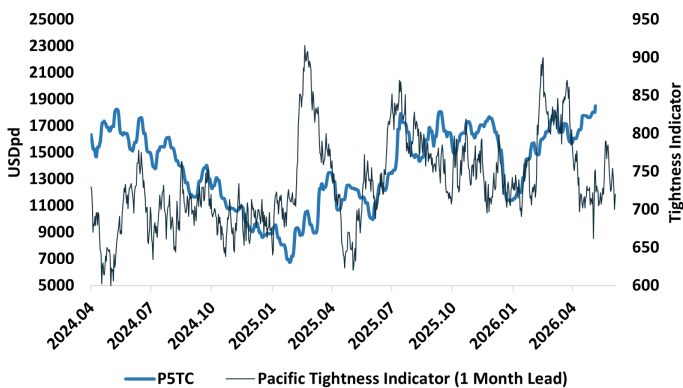
Weekly Shipment Volumes



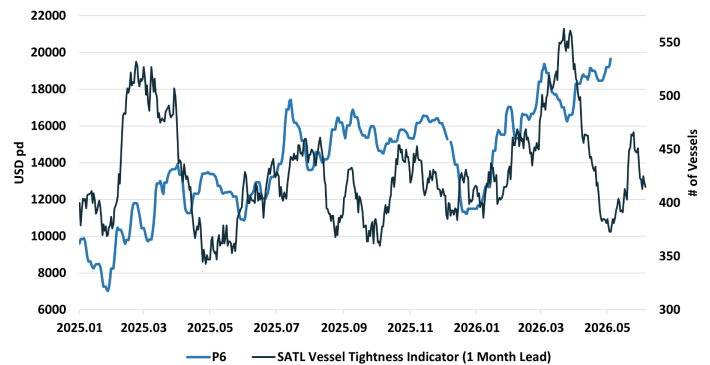
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)





Supramax/Ultramax

The below indicators suggest further upside is limited. Most likely, the S11TC index will drift sideways in the high teens.

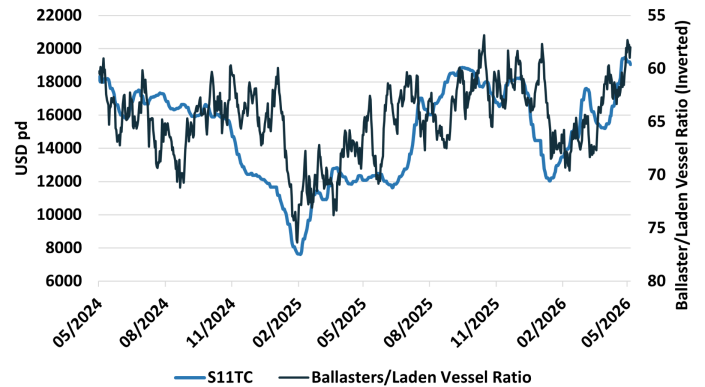
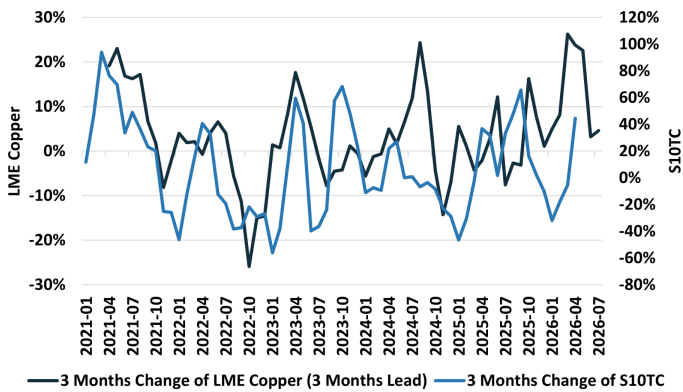
Top left chart: The three-month change in the price of copper suggests upward momentum will peak this month.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

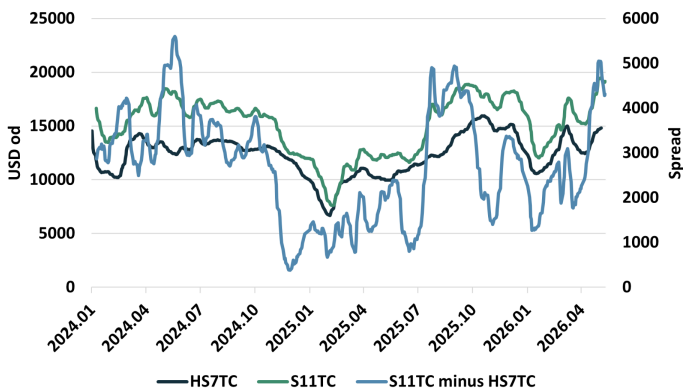
Bottom left chart: The Ultramax spread over the Handysize index is quite high, which usually means further upside is limited in the near-term.

Bottom right chart: Shipment volumes were up 5.7% year on year through week 17. Supply growth is at 5.2%.

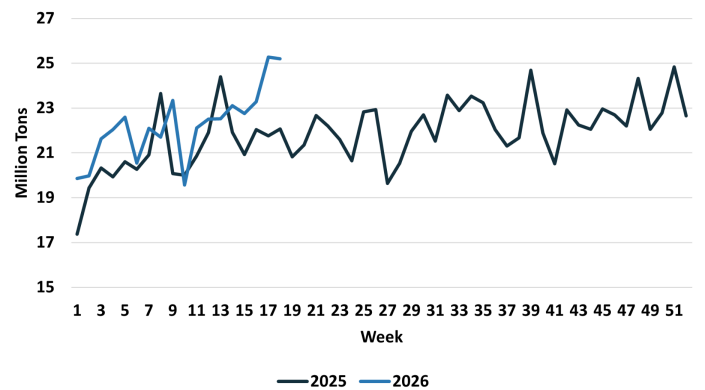
Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



S11TC / HS7TC spread



Weekly Shipment Volumes





Handysize

Further signs of a market peak since last week. The Ultramax rally has stalled, and the laden/ballast ratio have turned down (more ballast vessels).

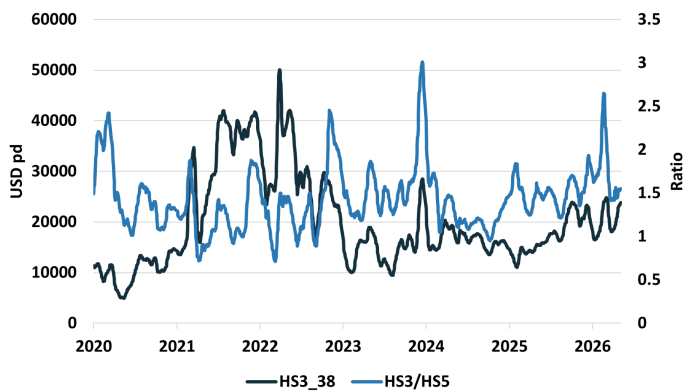
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 17, Handysize shipment volumes were 4.4% higher than the same period in 2025.

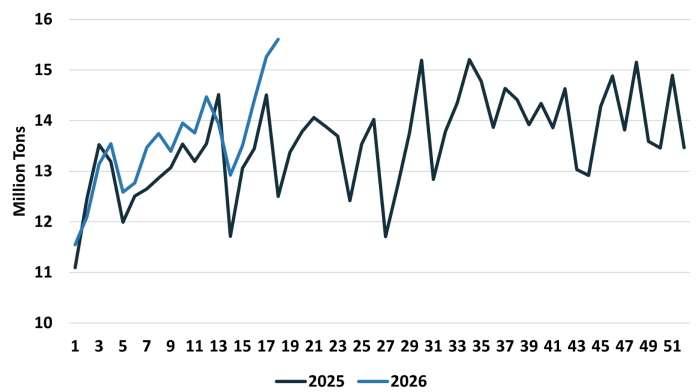
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The laden/ballast ratio is an accurate measure of underlying fundamentals, shown by the high correlation it has with to HS7TC index.

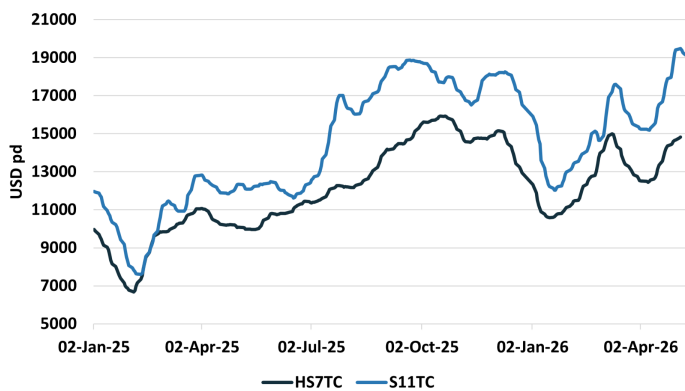
HS3 vs Ratio of HS3 and HS5



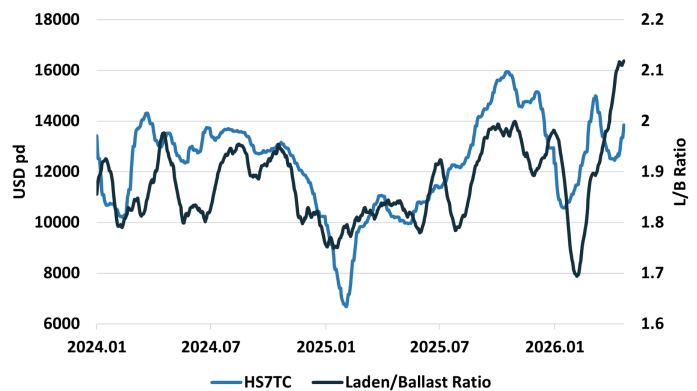
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Handysize 7TC vs Laden/Ballast Ratio





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